Fiscal 2014

Second Quarter Results

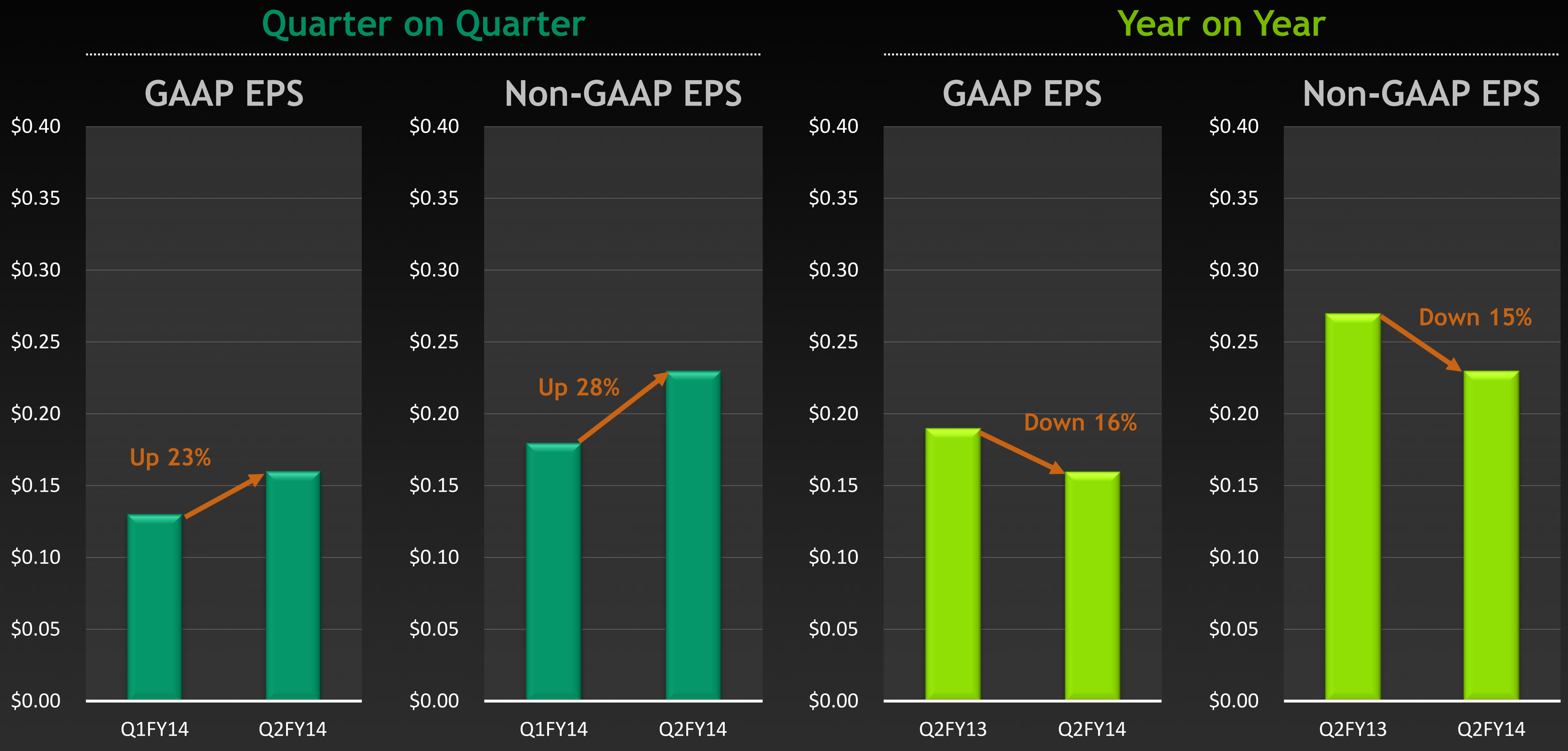
Non-GAAP measures

This presentation contains non-GAAP financial measures. A reconciliation of these non-GAAP financial measures to GAAP financial measures are at the end of this presentation.

Q2FY14 Highlights

- Delivered record gross margin
- Repurchased 36.9m shares
- Demonstrated Project Logan, mobile Kepler
- Launched IP licensing business
- Shipped SHIELD online and in retail (July 31)
- Launched GeForce GTX 760, GeForce GTX 770 and GeForce GTX 780
- Fully integrated GRID with Citrix XenDesktop 7
- Strengthened BOD with addition of Dawn Hudson

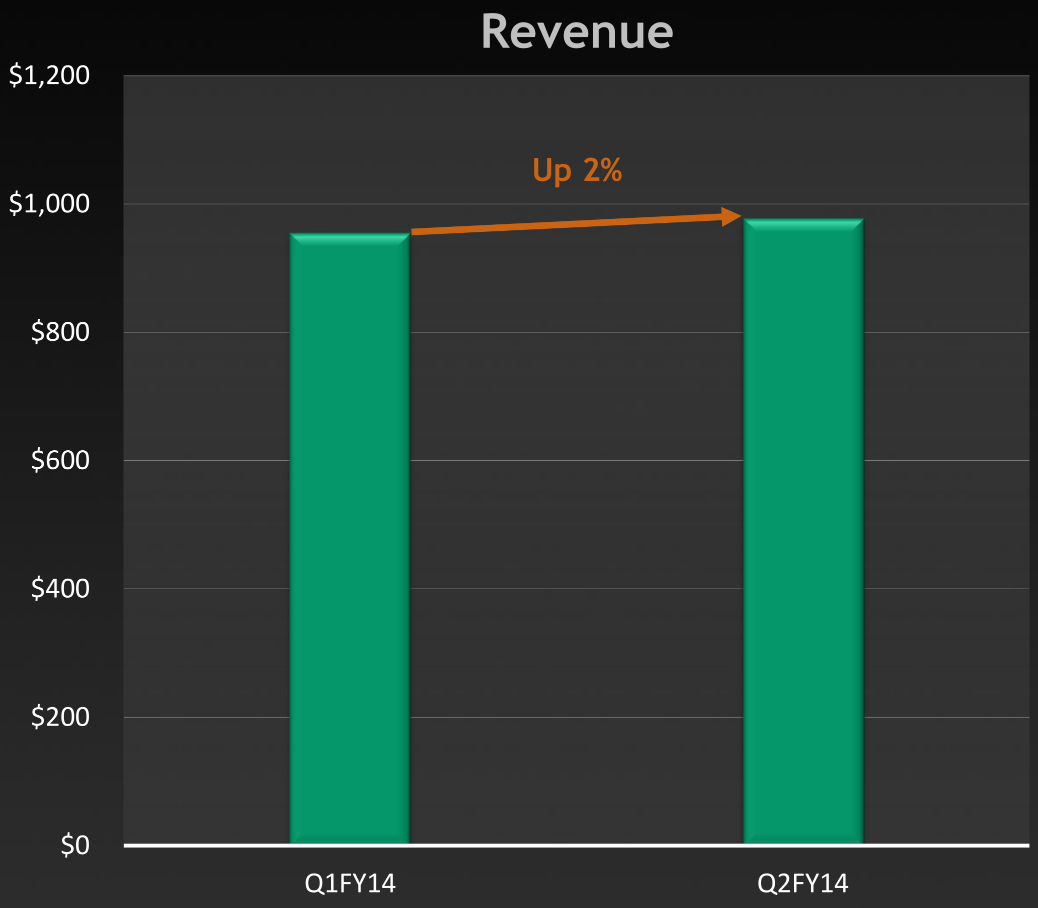
Earnings



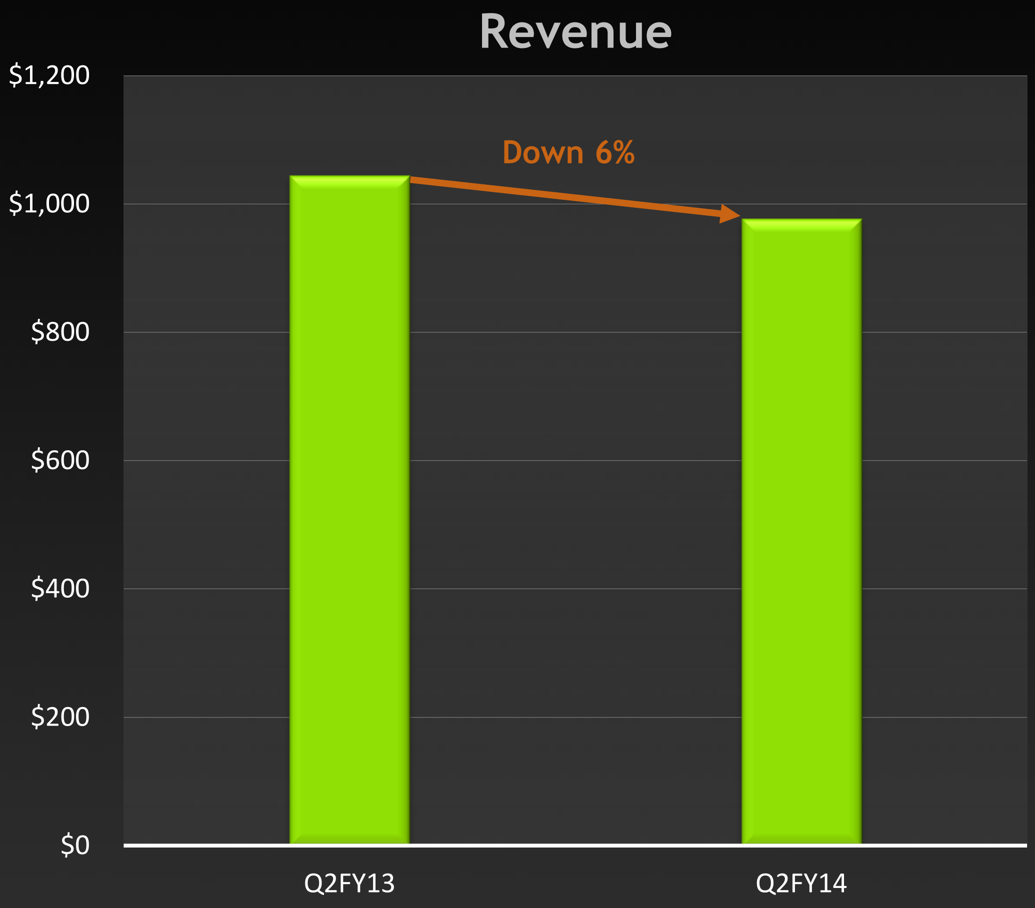
All numbers in this presentation are $ millions, except EPS or where otherwise indicated

Revenue

Quarter on Quarter

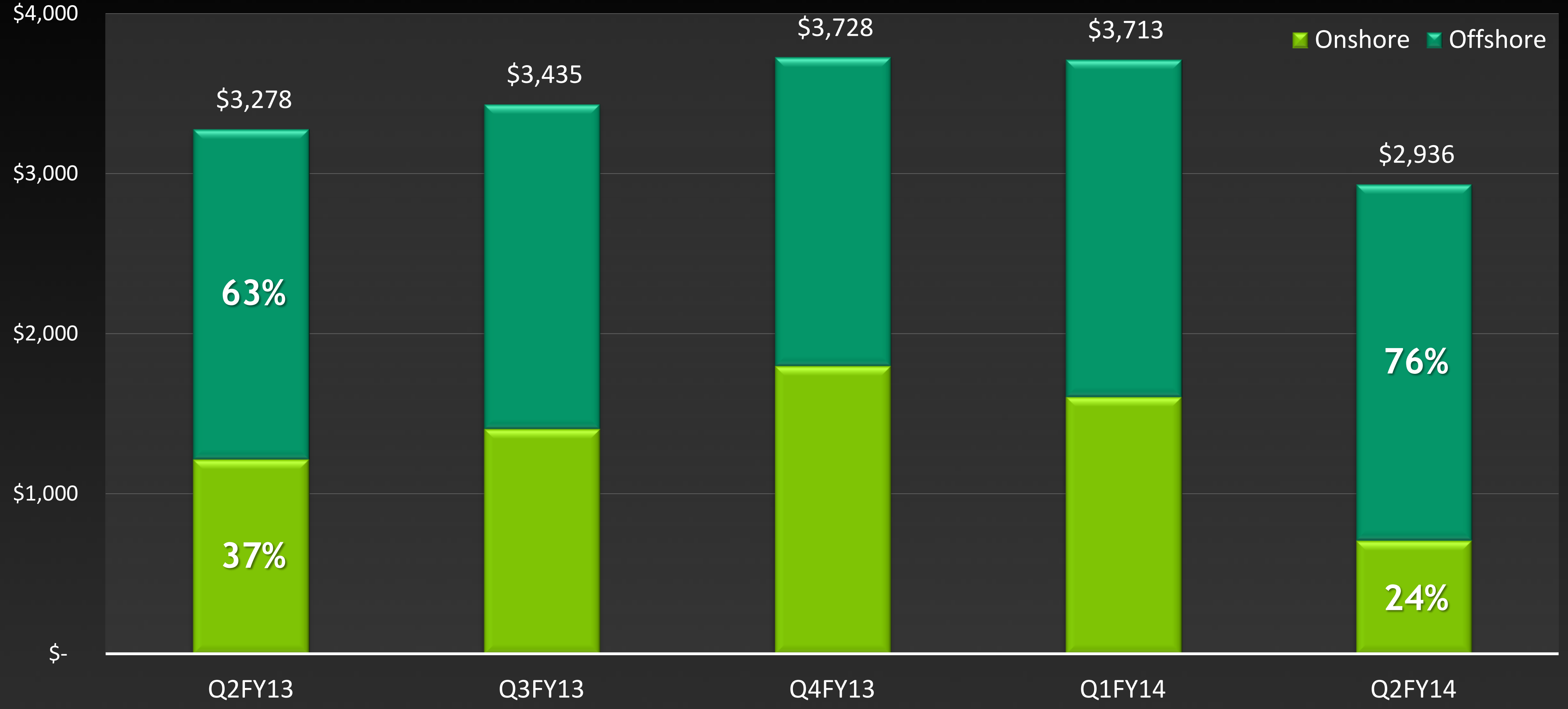


Year on Year



All numbers in this presentation are $ millions, except EPS or where otherwise indicated

Cash and Investments



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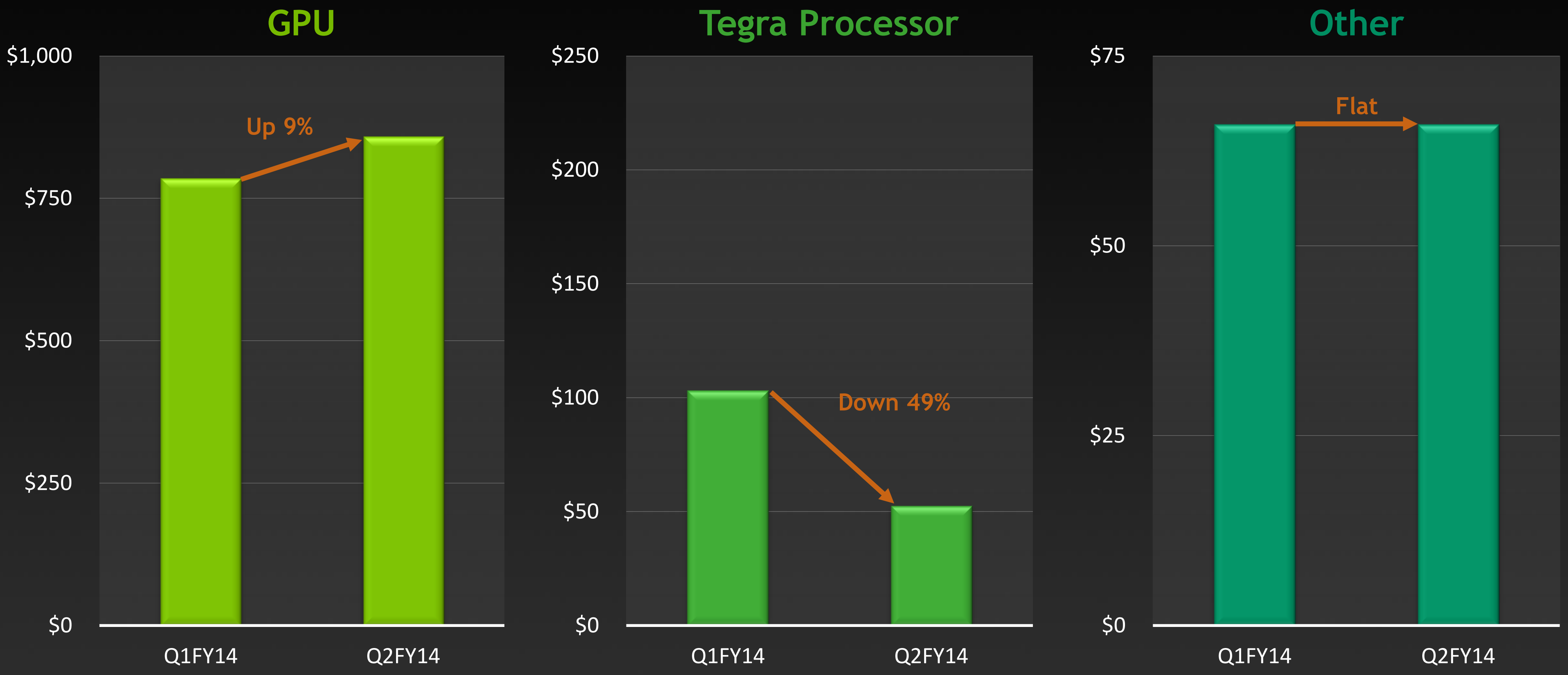
Segment Revenue Performance Q/Q



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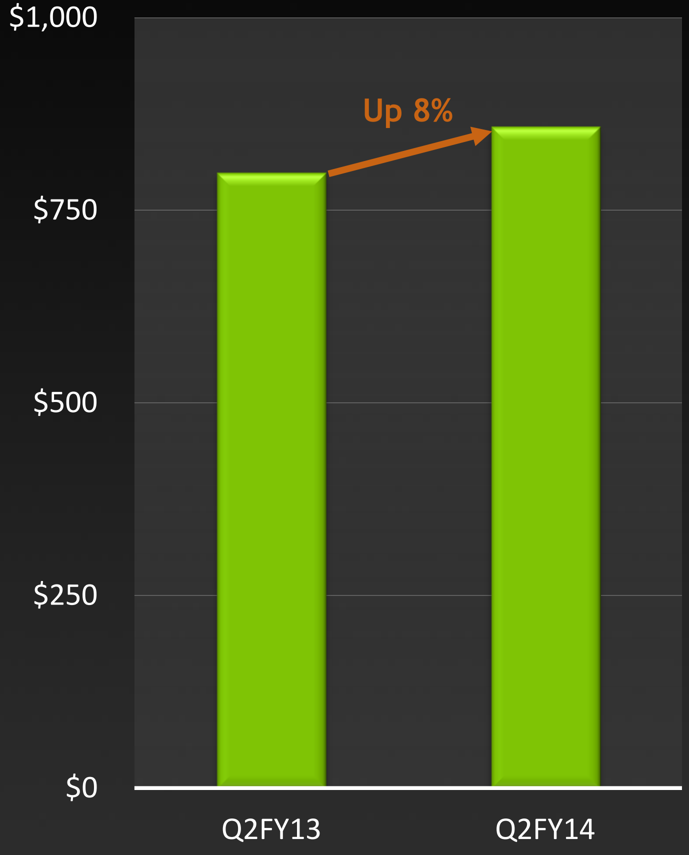
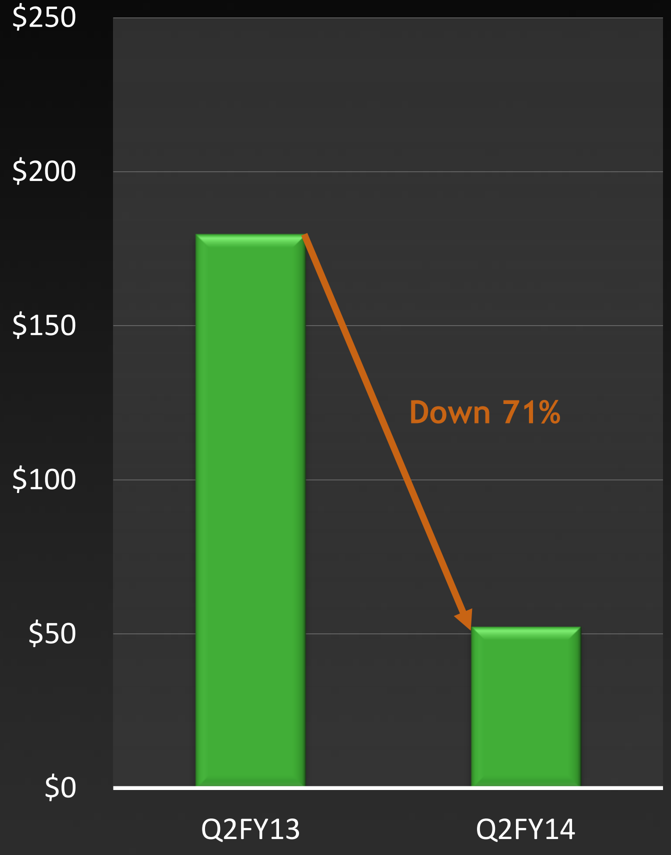
Segment Revenue Performance Y/Y

GPU



Tegra Processor



Other

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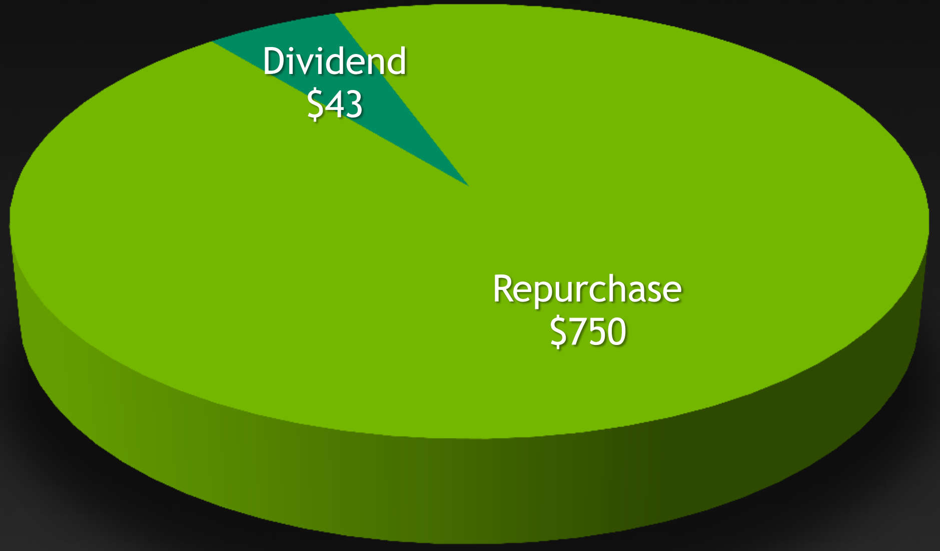
Cash Return

Q2FY14 Cash Return



- $750m paid into ASR, 36.9m shares returned to treasury so far, rest by end of October 2013
- $0.075 quarterly dividend
- Long term plan: maintain dividend payments, augment with repurchases

Remaining repurchase authorization of $0.3bn to Dec 2014

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Reconciliation of GAAP to Non-GAAP Financial Measures

	Three Months Ended		
	July 28, 2013	April 28, 2013	July 29, 2012
GAAP gross profit	$ 545,538	$ 518,568	$ 540,719
GAAP gross margin	*55.8%*	*54.3%*	*51.8%*
Stock-based compensation expense included in cost of revenue (A)	2,168	2,653	2,649
Legal settlement	2,290	-	-
Non-GAAP gross profit	$ 549,996	$ 521,221	$ 543,368
Non-GAAP gross margin	*56.3%*	*54.6%*	*52.0%*
GAAP operating expenses	$ 440,004	$ 435,787	$ 401,096
Stock-based compensation expense included in operating expense (A)	(30,227)	(30,744)	(29,606)
Amortization of acquisition-related intangible assets	(3,980)	(3,915)	(4,065)
Other acquisition-related costs (B)	(4,984)	(4,946)	(4,794)
Contribution expense (C)	-	-	(20,127)
Non-GAAP operating expenses	$ 400,813	$ 396,182	$ 342,504
GAAP net income	$ 96,448	$ 77,891	$ 119,046
Total pre-tax impact of non-GAAP adjustments	43,649	42,258	61,241
Income tax impact of non-GAAP adjustments	(6,767)	(6,348)	(9,839)
Non-GAAP net income	$ 133,330	$ 113,801	$ 170,448
Diluted net income per share			
GAAP	$ 0.16	$ 0.13	$ 0.19
Non-GAAP	$ 0.23	$ 0.18	$ 0.27
Shares used in diluted net income per share computation	592,006	619,302	623,143

(A) Excludes stock-based compensation as follows	Three Months Ended		
	July 28, 2013	April 28, 2013	July 29, 2012
Cost of revenue	$ 2,168	$ 2,653	$ 2,649
Research and development	$ 18,555	$ 21,935	$ 18,885
Sales, general and administrative	$ 11,672	$ 8,809	$ 10,721

(B) Comprise of transaction costs and compensation charges related to acquisitions.

(C) Net present value of a $25 million charitable contribution pledged on June 12, 2012 to Stanford Hospital and Clinic, payable over ten years.


NVIDIA